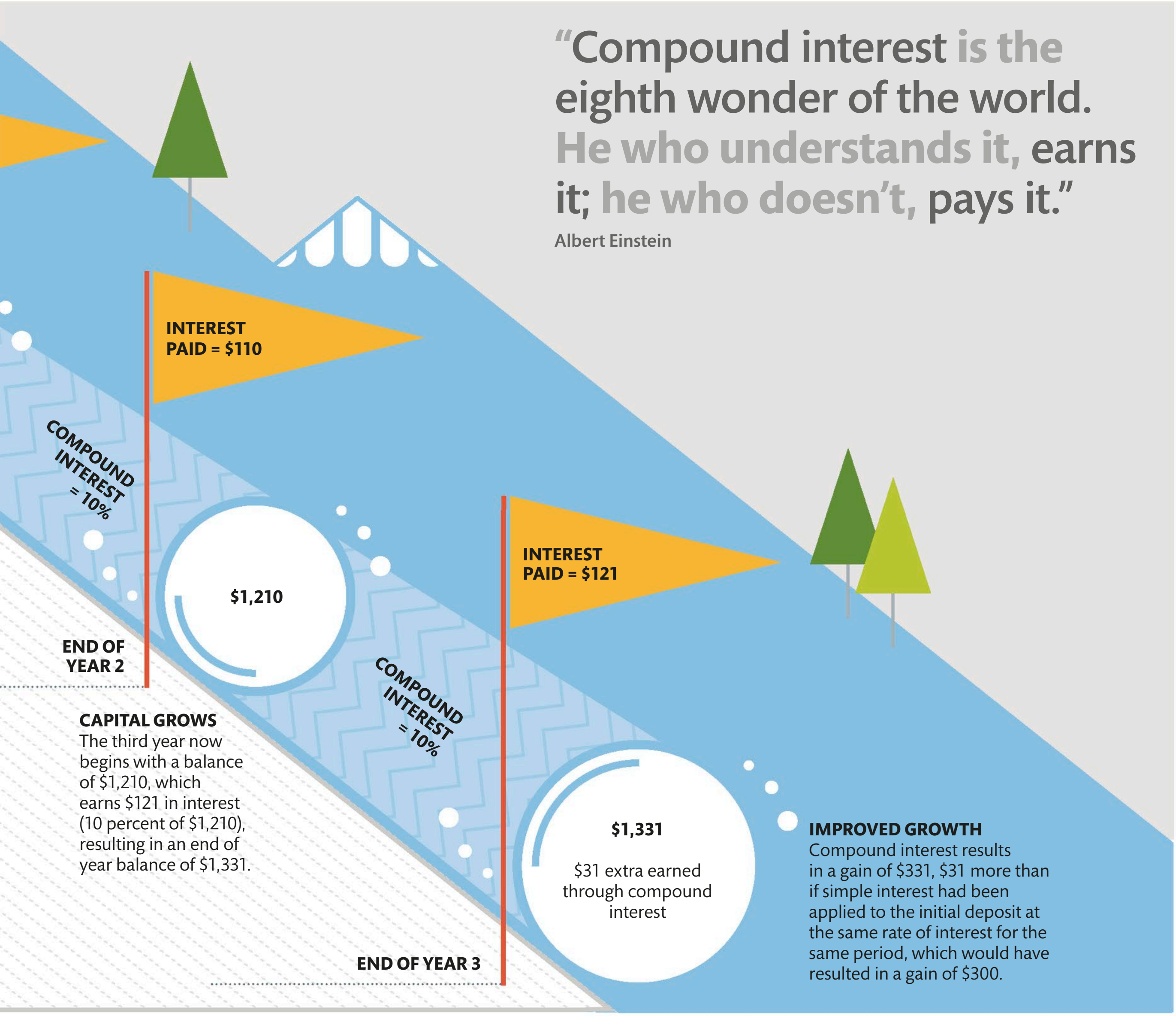
How it works

Interest is the cost of borrowing money, for example from a bank, and it is calculated as a percentage of the capital. When money is saved it is effectively being lent to the institution, which then pays interest to the investor, so the capital "earns" interest.

With simple interest, money is paid out to the investor each year. Compound interest is interest paid on reinvested simple interest, and works for both saving and borrowing. The interest from the first year is added to the initial sum, so in the second year interest is paid on the capital plus the interest accrued. In the third year it is paid on the capital plus the first two years' interest, and so on.

"Compound interest is the eighth wonder of the world. He who understands it, earns it; he who doesn't, pays it."

Albert Einstein



CAPITAL GROWS
The third year now begins with a balance of $1,210, which earns $121 in interest (10 percent of $1,210), resulting in an end of year balance of $1,331.

IMPROVED GROWTH
Compound interest results in a gain of $331, $31 more than if simple interest had been applied to the initial deposit at the same rate of interest for the same period, which would have resulted in a gain of $300.